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Background of Industrial Progress:-

- (1) Pakistan at the time of Partition in 1947, had negligible industrial base.
- (2) Out of 921 industrial units operating in the British India, Pakistan got only 34 industries, 4% of the total industries established in the Subcontinent.
- (3) There was no steel industry worth that are in Pakistan, whereas India had a sound industrial base at the time of Independence.
- (4) Since the division of the Subcontinent, the Government of Pakistan has been utilizing all the available resources domestic as well as external for rapid development of the manufacturing sector.
- (5) The Government of Pakistan being aware of the importance of industries for

rapid growth & development, called an Industrial Conference in December 1947. The industrial conference recommended the establishment of Development Industries which use locally produced raw material like jute, cotton, hide and skins.

(6) In order to expand the scale of production, the private enterprise was to be encouraged to set up industries.

(7) In the period from 1947 to 1950, the private entrepreneurs invested in those industries which showed the highest profit. The contribution of industrial sector was 6.9% to GDP in 1950.

Definition:-

Industrialization:

The process in which a society or country (or world) transforms itself from a primarily agriculture society into one based on the manufacturing of goods and services. Individual manual labor is often replaced by mechanized mass production and craftsmen are replaced by assembly lines.

Introduction:-

An industry is a group of organization involved in producing/manufacturing or handling the same type of product and service. So, a group of smartphone manufactures is known as an industry.

Industries are part of the secondary activity. Secondary activities or manufacturing converts raw material into products of more value to people. Industry refer to economic activity concerned with the production of goods, extraction of services and

Provision of services. Hence we can say that Industries are concerned with:

- Production of good (steel energy)
- Extraction of minerals (coal mining)

What are industry:

An industry is a group of companies that are related based on their primary business activities.

Industry classification are typically grouped into larger categories called sectors. Individual companies are generally classified into an industry based on their largest sources of revenue.

Why industries are important:

It raises the productive capacity of the people and creates ever-increasing employment opportunities.

The people thus can have more goods and services, leisure and better health denied the previous generation. Industrial development reduces dependence on agriculture.

exports to earn badly-needed foreign exchange. They help in modernising agriculture. Industries reduce the heavy dependence of people on agriculture by providing them jobs. Industrial development is a pre-condition for eradication of unemployment and poverty from the country.

The rapid development of capital goods industries promote the growth of agriculture, transport and communication. It also enables the country to produce a variety of consumer goods in larger quantities and at low costs. It also eliminates our dependence on other countries for the supply of essential goods.

Classification of Industries:

Agro-based industries:-

These industries use plants and animals - based products as their raw material.

Examples:-

Food processing, vegetable oil,

cotton textile, dairy⁽²⁴⁾ products, and leather industries.

Mineral based industries:-

Mineral-based industries are based on mining and use 'minerals ore' as raw material. These industries also provide to other industries. They are used for heavy machinery and building materials.

Marine-based industries.

Marine-based industries use raw materials from sea or ocean.

Example:- Fish, oil.

Forest-based industries:

These industries use raw materials from the forest like wood. The industries connected with forest are paper, pharmaceutical and furniture.

Size:

Size of industries are measured by how much money is invested, employee count and goods produced.

- Small - scale industries:-

Small-scale industries have less capital and technology invested in them. There is often manual labour noticed here.

Example:-

Basket weaving, Pottery, and handicrafts.

- Large-scale industries:-

Large-scale industries are the exact opposite of small-scale industries. Here the capital invested is large and advanced technology is in use here.

Example:-

Automobiles and heavy Machinery.

Industrial Systems:-

Industrial Systems are made up of input, processes, and output. The input of raw materials, labour, land, power and other infrastructure. The process in the plan the manufacturer has of how to turn raw materials into finished

Products of value. And finally, the output is the end of the product from which the income earned it.

Industrial Clusters:-

Industrial clusters occur when many industries are located close to each other and share the benefits of their closeness.

Major industrial clusters in India are:

- Mumbai-Pune Cluster
- Bangalore-Tamil Nadu region
- Hugli region.

Industries in Pakistan:

Textile Industry in Pakistan

The textile industry in Pakistan is the largest manufacturing industry in Pakistan.

Pakistan is the 8th largest exporter of textile commodities in Asia. Textile sector contribute 8.5% to the GDP of Pakistan.

- In addition, the sector employs about 45% of the total labour force in the country (and 38% of the manufacturing workers).
- In addition, Pakistan is the 4th largest Producer of cotton with the third largest Spinning capacity in Asia after China and India and contributes 5% to the global Spining capacity.
- At present, there are 1221 girming units, 442 spinning units, 124 larger spinning units and 425 small units which produce textile.

Sports Industry of Pakistan:-

- For a healthy Lifestyle, sports have always been beneficial. A healthy person can even think and work in a better way to conduct any kind of business. The sporting goods industry itself is a billion dollar market.

- In Pakistan, Sialkot is the hub of the sport industry and manufacturing.
- Previously, the market in Sialkot was believed to be very strong in sports manufactured producing quality products even for the World cup matches held in various countries.
- At present, the whole market has been affected by the Chinese products because of the low prices they offer. A few items are still available in the market manufactured by the local industry.

Cement Industry of Pakistan:-

- The cement industry of Pakistan has come a long way since 1947. Immediately after Partition, the annual production of cement in the country was 300,000 tons per year and total installed capacity was 470,000 tons per annum. The first cement factory, established in 1921, in the region, that is now Pakistan, was at Wahi, Punjab.

→ Two cement factories⁽⁹⁾ were established at Zealpak and Maple leaf, with installed capacities of 240,000 and 100,000 tons respectively. Today, the operational capacity of cement production in Pakistan is estimated to be between 46-49 million tons, with an expected expansion to 76 million tons by 2020.

Sugar Industry of Pakistan

→ Sugarcane is an important cash crop of Pakistan. It is mainly grown for sugar & sugary production. It is an important source of income and employment for the farming community of the country.

→ At the time of Pakistan independence in 1947 there were only two sugar mills in the country with a total production of 7,932 tons during the season of 1947-48. Then during 1997-98 there were 75 sugar mills in the country producing 2.4 million

million metric tons of ⁽¹⁰⁾sugar.

→ Sugar in Pakistan is manufacture from cane and beet, although cane is the main - and overwhelming - raw material used. There is about 1 million hectares of land under cane and beet in four Provinces: Punjab, Sindh, North, West Frontier Province (NWFP) and Baluchistan.

Fertilizer Industry of Pakistan

→ Currently, in Pakistan, there are six major Producers of fertilizer which include Fauji fertilizers, Engro Fertilizer Company, Dawood Hercules, and Fatima Fertilizers. Media reports suggest that the Chinese government is keenly looking for avenues to enter Pakistan's agriculture and fertilizer sector.

→ The fertilizer industry of Pakistan has enormous potential and is well on its way to be becoming one of the biggest fertilizer exporters in the region in the

coming year.

→ Major key players in the fertilizer industry have very actively been serving, education and empowering the farming community through valuable developmental initiatives in partnership with various welfare and financial institutions.

- Surgical Industry of Pakistan-

→ Pakistan has no competitor in ophthalmic handheld instruments. The city of Sialkot is very well known particularly in Europe for its surgical industry. There are around 2300 companies engaged in this industry which produce on average 150 million pieces per year with an estimated value of around Rs. 22 billion.

→ According to the domestic industry sources surgical instruments are only manufactured in Germany or Pakistan and a few other countries such as Japan, United Kingdom etc.

- Among these Germany is considered to be market leader considering all the attributes such as range of instruments, quality, innovation etc. The Pakistani surgical instrument manufactures consider only Germany to be their competitor.

Defence Industry of Pakistan

- The army industry, also known as the arms trade, is a global industry which manufactures and sells weapons and military technology. It consists of a commercial industry involved in the research and development, engineering, Production, and servicing of military material, equipment, and facilities.
- The Defence Industry of Pakistan under the Ministry of Defence Production, was created in September 1951 to promote and coordinate the patchwork of military Production facilities that have developed since

independence.

Telecom Industry of Pakistan

The telecom sector is one of the fastest growing segments of Pakistan's economy and is a key driver for growth. There are an estimated more than 100 Million cellular users and the sector directly or indirectly employs approximately 1.36 million people.

Textile Industry of Pakistan:

Pakistan is the 8th largest exporter of textile commodities in Asia. Textile sector contributes 8.5% to the GDP of Pakistan. In addition, the force in the country (and 38% of the manufacturing workers).

Chemical Industry of Pakistan:-

The chemical sector contributes to about 3% of the National GDP and about 16% of Pakistan's manufacturing GDP. This is the largest manufacturing GDP Industry in Pakistan & 8th largest

8th largest exporter of textile products globally. The industry contributes more than 60% of Pakistan total exports.

Automotive industry of Pakistan:

Pakistan is the 35th largest producer of automobiles. Its contribution to the national exchequer is nearly Rs 50 billion (US\$ 310 million). Pakistan's auto market is among the smallest, but fastest-growing in Asia.

Oil & Gas Industry of Pakistan:

Oil & gas sector is among the most impactful sectors of Pakistan's economy. The total energy supply during 2019 was about 86 million tons of oil equivalent. To understand the impact of gas contribution, indigenous gas is about 35% of the total energy supply.

Industrial Development:

Industrial Development or history of industry in Pakistan can be divided in some phases.

Phase 1 (1947-1957):

- This phase started from 1947 ended to 1958. During this period, the country was newly born and politically immature. During this 11-year periods, 8 prime ministers came into power. Not a single prime minister was strong enough to pursue the industrial policy well.
- During this period, the policy emphasis was on import substitution.
- Government had established a committee to formulate industry policy.
- This committee emphasized on manufactured industries, reduction of imports, and net social and economic advantage to the country.
- Pakistan Industrial Finance Corporation (PIFC) and Pakistan Industrial Credit & Investment Corporation (PICIC) were established in 1948.

Phase 2: (1958-1969):

→ In 1958, a military government of Ayub came into power in Pakistan and announced a new industrial policy in 1959. This phase witnessed the massive industrial growth in the country.

This industrial policy emphasized on private sector & the development of agro-based industries.

→ During this period, the government gave emphasis on intermediate & capital goods, electrical, chemical, machine tools etc.

→ Various type of funds were established to promote the industrial development in the country.

Phase 3 (1973-1977):

During this period, a new democratic government of Bhutto came into power and adopted the principles of

of mixed economy. Government ruthlessly nationalized 34 industrial units belonging to the following basic units.

- (i) Vegetable ghee and oil industries
- (ii) Shipping industry
- (iii) Heavy engineering industries
- (iv) Tractors plants
- (v) Cement industries
- (vi) Heavy engineering industries

Phase 4 (1977-1988)

- A new martial law government by Zia came into power in 1977. The new military government in 1977 announced the reversal of previous government's nationalization policy and introduced a new industrial policy.
- The federal government offered for the transfer of shares of nationalized industries to their former

owners, under Economic Reforms Order 1978, & thus the new open way for denationalization of industries.

- Government announced tax holidays and revised import policy.
- To boost private industrial development, following measures were taken:
- Removal of taxes on issuance of bonus shares.
Fixing standard rebates of excise duty on additional 17 items.

Phase 5 (1988-2008):

During the first half of this phase: 1988 to 1999 the country had faced worst political conditions in the history of Pakistan.

Two governments had come into power for twice i.e. Benazir's Government & Nawaz's Government, & not even governed for more than 3 years. Therefore, the industries

(19)
was never the top priority of those two governments.

Nawaz Sharif, however, lightly emphasized on infrastructural development in Pakistan, but interrupted by the bloodless coup d'état by Musharraf in 1999.

Although Nawaz had adopted considerable economic policies, i.e. deletion policy, deregulation policy & privatization policy, which were also pursued by succeeding governments. Much of these policies were influenced by IMF.

During the second half of this phase (2000-2008), industries of Pakistan faced greater influence of cheaper goods imported under WTO agreements.

Problems of Industrialization in Pakistan

→ Power shortage

2/ Lack of trained man power

- (3) Lack of proper infrastructure
- (4) Inefficiency
- (5) Lack of products innovation resulting in concentration of industries in some specific sectors.
- (6) Changing political and economic policies.
- (7) Bad Law and order situation resulting in lower investment in industries.
- (8) Corruption in related government agencies and so many govt. agencies intervention.
- (9) Higher interest rate.

Factors Influencing Industries Location:

- (1) Raw material
- (2) Access to market
- (3) Capital
- (4) Government Policies

- (5) Skilled Labour
- (6) Power Supply
- (7) Industrial Linkage

Physical

- (1) Natural routes
- (2) Site Requirement

Location of Industries

Location	Factors affecting Location of Cotton Textile Industries
Karachi	• Sufficient labour • Large domestic market • Availability of Power supplied
Faisalabad	• Large local market and cotton belt in Punjab • Labour force available
Hyderabad	• Large local market and cotton producing area in Sindh • Close to import export markets
Other centers	• Domestic Market • Favorable government Policies.

Present Situation of Industrial sector of Pakistan:

Situation of manufacturing sector

Large Scale manufacturing sector

Small Scale manufacturing sector

Situation of concentration sector

Situation of Mining Sector.

Situation of Electricity Generation &

Distribution Sector:

Conclusion:-

We can conclude that manufacturing is the third sector of our economy. and it is the backbone of any country. It plays a very important role in the economic development of a country.

Pakistan has been a backward country in industrial sector due to different
historic, political & economic